

CHAPTER 5

Crude Oil Markets

How the world prices, trades, and moves over 100 million barrels of crude every day.

● Brent

● WTI

● Dubai / Oman



THE MARKET THAT NEVER CLOSES

The scale of crude

100M+

barrels a day

No other physical commodity trades at this scale, and none feeds the global economy as directly — from transport fuel to plastics to power.

A reference price, not one price

"Crude" is hundreds of distinct grades. The market organizes them around a handful of benchmark prices that everything else is quoted against.

Physical meets paper

Every barrel sits at the intersection of a physical cargo market and a far larger financial market built on top of it.

Why it matters

Understanding crude means understanding how price is discovered, who sets it, and what moves it.

Three benchmarks price the world

● Brent

North Sea ICE · London

The global benchmark — references most internationally traded oil. The U.S. EIA now uses it as its primary price reference.

● WTI

Cushing, OK CME / NYMEX

Light, sweet, physically delivered in the U.S. — the most liquid single crude contract in the world.

● Dubai / Oman

Middle East Asia flows

A heavier, sour marker that prices most crude flowing east to Asian refiners — the largest physical export flows on earth.

± **Everything is a differential.** No grade trades in isolation — each cargo is priced as a premium or discount to one of these three markers, reflecting its quality and location.

Two markets, two clocks

The spot (physical) market

Where actual cargoes change hands for near-term delivery — prices reflect real-time supply, demand and logistics for a specific grade at a specific port.

The futures (paper) market

Standardized contracts for delivery at a fixed future date. This is where most price discovery and risk transfer happen — volumes dwarf physical trade many times over.

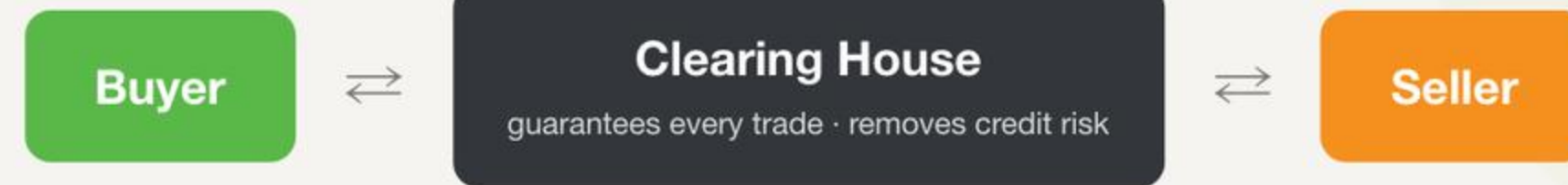
The link between them

Futures and physical converge at expiry. The spread between them — and between months — tells traders whether the market is tight or oversupplied.

CONVERGENCE AT EXPIRY



Where the contracts live



ICE — the Brent complex

London-based home of Brent. ICE Brent is the settlement reference for a large share of the world's crude and product contracts.

CME / NYMEX — the WTI home

New York's home of WTI — the deepest energy derivatives market, clearing futures, options and a vast web of spreads.

Central clearing

Both exchanges stand between buyer and seller, guaranteeing trades and letting strangers trade billions in barrels safely.

Standardization

Fixed 1,000-barrel contracts, set delivery points and quality specs make every contract fungible — the foundation of deep liquidity.

Who sets the price



Producers & NOCs

Saudi Aramco, ADNOC, and majors like ExxonMobil and Shell — they sell physical crude and hedge their revenue.



Refiners & physical traders

Vitol, Trafigura, Glencore and refinery operators — they buy crude, process it, and manage the spread to product prices.



Banks & financial funds

They provide liquidity, structure hedges and take directional positions — absorbing the risk commercial players shed.



End consumers

Airlines, shippers and utilities hedge fuel costs — together keeping the market continuous and liquid around the clock.

OPEC+ and the supply lever

~1/2

of the world's oil is pumped by OPEC+

8 core members — Saudi Arabia, Russia, Iraq, UAE, Kuwait, Kazakhstan, Algeria, Oman — coordinate voluntary output.

~3.24M b/d

cuts held in place, early 2026

Roughly 3% of global demand withheld to support price.

The tool

By raising or withholding quotas, the group manages price and balances the market.

The 2026 stance

After returning ~2.9M b/d through 2025, the group paused further hikes into Q1 2026 amid fears of a looming glut.

A new rulebook

From 2027, quotas will be based on independently audited capacity — contentious for members at very different levels.

DRIVERS

What moves the price



Supply

OPEC+ decisions, U.S. shale, sanctions and outages. Small marginal changes move price sharply — demand is slow to adjust.



Inventories

Builds signal oversupply and weigh on price; draws signal tightness. Weekly U.S. data is among the most-watched releases.



Demand

Tied to growth, industry and the seasonal rhythm of driving and heating. Long term, electrification is slowing the trend.



Geopolitics & the dollar

Conflict near a chokepoint can reprice the market in hours — and as crude is priced in dollars, the currency is itself a driver.

WHEN THE CHOKEPOINT CLOSES

\$118

Brent, end of Q1 2026

Brent began 2026 near **\$61** and finished Q1 at **\$118** — the largest inflation-adjusted quarterly jump on record, as the Strait of Hormuz shut and Gulf producers lost **10M+ b/d**. Brent surged over WTI, the spread peaking near **\$25**.

BRENT — 2026, \$/BBL



Reading the forward curve

Contango

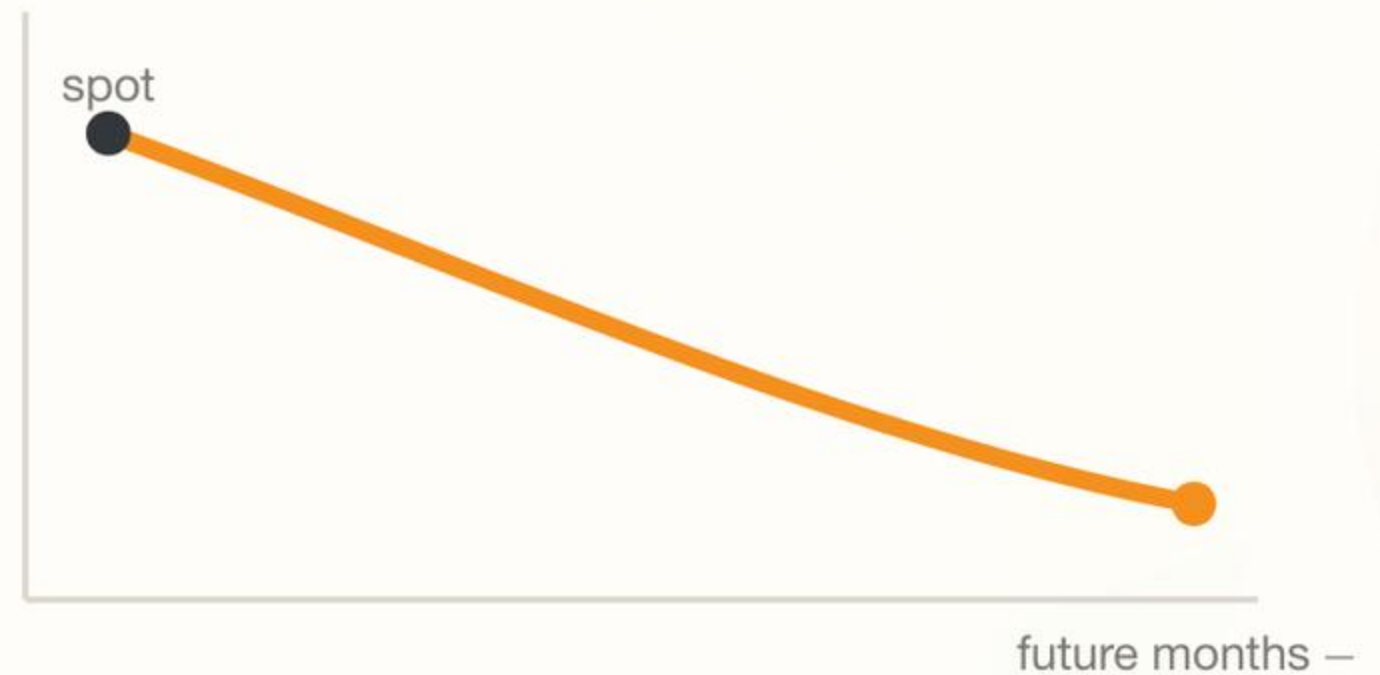
future above spot — oversupply



Rewards storing barrels — typical of a well-supplied market. The 2025 glut traded in contango.

Backwardation

spot above future — scarcity



Penalizes storage — the classic signature of a supply shock, exactly what followed the 2026 Hormuz closure.

The curve is the market's collective view on future balance. The move from glut-driven contango in 2025 to sharp backwardation in 2026 captured the entire crisis in a single shape.

The market today

The retreat

By late May 2026, Brent had fallen back below \$100 — down sharply from the March peak — as talks to reopen the Strait advanced.

Demand revised down

The price shock cut consumption. The IEA shifted from modest growth to projecting a small contraction in 2026 oil demand.

The underlying surplus

Beneath the crisis, ample supply from the U.S., Brazil, Guyana and others kept the market well stocked.

A market in transition

A fragile truce sitting on top of a looming surplus left the direction of price unusually uncertain.

CONCLUSION — ONE MARKET, MANY LAYERS

Above all, the crude market is a machine for pricing uncertainty.

Benchmarks anchor everything

Brent, WTI and Dubai/Oman turn hundreds of grades into one coherent price system.

Paper rules physical

Futures discover the price and manage risk; the physical market is what it exists to serve.

Governed supply, structural demand

OPEC+ works the supply lever; growth, seasonality and electrification shape demand.